

The business of Coca-Cola is relatively simple. The company purchases commodity inputs and mixes them to manufacture a concentrate that is sold to bottlers, who combine the concentrate with other ingredients. The bottlers then sell the finished product to retail outlets, including minimarts, supermarkets, and vending machines. The company also provides soft drink syrups to restaurants and fast-food retailers, who then sell soft drinks to consumers in cups and glasses.

Tenet: Consistent Operating History

No other company can match Coca-Cola's consistent operating history. The business was started in 1886, selling one beverage product. Today, almost 130 years later, Coca-Cola is selling the same beverage—plus a few others. The only significant difference is the company's size and geographic reach.

At the turn of the twentieth century, the company employed 10 traveling salesmen to cover the entire United States. At that point, the company was selling 116,492 gallons of syrup a year, for annual sales of \$148,000. Fifty years after inception, the company was selling 207 million cases of soft drinks annually (having converted sales from gallons to cases). "It would be hard," Buffett has noted, "to name any company comparable to Coca-Cola and selling, as Coca-Cola does, an unchanged product that can point to a ten-year record anything like Coca-Cola's."²⁴ Today, with 1.7 billion servings daily, the Coca-Cola Company is the number-one global provider of beverages, ready-to-drink coffees, juices, and juice drinks.

Tenet: Favorable Long-Term Prospects

Shortly after Berkshire's 1989 public announcement that it owned 6.3 percent of the Coca-Cola Company, Buffett was interviewed by Melissa Turner, a business writer for the *Atlanta Constitution*. She asked Buffett a question he has been asked often: Why hadn't he purchased shares in the company sooner? By way of an answer, Buffett related what he was thinking at the time he finally made the decision.

"Let's say you are going away for ten years," he said, "and you wanted to make one investment and you know everything that you know now, but you couldn't change it while you were gone. What would you think about?" Of